

THE SESSION • POST-CLOSE READ

Crude Moves, Equities Don't

Brent added 3.8% on Iran's draft terms for Hormuz transit while the S&P 500 eased 0.16%. The Dividend Strategy finished within two basis points of unchanged and ahead of both benchmarks; the Growth Portfolio trailed IUSG by nine.

S&P 500 ▼ 0.16%

NASDAQ ▼ 0.06%

DOW ▼ 0.85%

VIX 15.12

BRENT ▲ \$82

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

-0.02%

1-DAY

FCI		-0.02%
DVY		-0.38%
SPY		-0.16%

YTD +21.82% vs DVY +15.89% · SPY +13.31%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.21%

1-DAY

FCI		-0.21%
IUSG		-0.12%

YTD +18.24% vs IUSG +15.01%

THE SESSION

Thursday's largest move belonged to crude, not to stocks. Brent settled 3.8% higher at \$82.49 after Iranian state media published a draft plan attaching restrictive conditions to ship traffic through the Strait of Hormuz — a reminder that the interim arrangement traders had begun to treat as settled remains a negotiation. Equities absorbed it without much comment. The S&P 500 eased 0.16% to 7,711, the Nasdaq 0.06%, and the Dow gave back 0.85% to 53,885, ending a run of record closes. The VIX finished at 15.12.

The morning's labor data did nothing to disturb that composure. Initial claims for the week ended August 1 rose by 1,000 to 199,000, and Challenger reported 33,429 announced July job cuts against 45,849 in June. Second-quarter productivity grew at a 1.4% annual rate versus forecasts near 0.6%, which holds unit labor costs down. Stable employment and contained wage pressure let Treasury yields drift higher, and that is the ordinary explanation for what happened to the rate-sensitive corners of both sleeves — Toll Brothers eased 2.27% and NextEra 1.77%, neither on anything the companies did. Friday's payroll report is the next item on the calendar.

Two basis points is not a result; it is the absence of one. Most of long-term ownership is made of days like this.

The Dividend Strategy finished 0.02% lower — nearer to unchanged than to anything else — and that was enough to finish ahead of DVY, off 0.38%, and SPY, off 0.16%. Abbott, Fastenal and Qualcomm carried the

sleeve against softness in NextEra, Steel Dynamics and S&P Global. The Growth Portfolio's 0.21% decline trailed IUSG by nine basis points, a gap created almost entirely by Fortinet and the bitcoin-linked miners;

the semiconductor holdings, Credo and AMD in particular, recovered a meaningful share of Wednesday's giveback. Bitcoin held near \$64,400, off 0.26%, and gold was effectively unchanged at \$4,303. Year to date

the two sleeves stand at 21.82% and 18.24%, each ahead of its benchmarks.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

CRDO +4.23%

GROWTH

Recovered most of Wednesday's decline as the AI-connectivity complex repriced upward alongside AMD. No company-specific development.

AMD +2.75%

GROWTH

Rebounded from Wednesday's post-earnings reset. Morningstar reiterated a \$530 fair value estimate, citing CPU and GPU prospects.

QCOM +2.44%

DIVIDEND

A second session of recovery from a depressed base, moving with the broader semiconductor group rather than on news.

DECLINERS

FTNT -3.30%

GROWTH

Continued to digest management's billings commentary from the second-quarter report; the security group lagged a firmer software tape.

MARA -2.89%

GROWTH

Bitcoin held near \$64,400, off 0.26%. The miners gave back more than the coin, as they generally do in either direction.

TOL -2.27%

GROWTH

Homebuilders eased as Treasury yields firmed after the labor data. The 30-year mortgage rate ticked to 6.81% from 6.76%.

AEM +1.84%

GROWTH

Precious-metals producers firmed while bullion itself held near \$4,303, effectively unchanged on the day.

FAST +1.77%

DIVIDEND

Industrial distribution held firm in a session that favored cyclical over software. No company-specific news.

NEE -1.77%

DIVIDEND

Regulated utilities moved inversely with the day's rise in yields. No company-specific development.

HOOD -1.76%

GROWTH

Gave back ground with the higher-beta financial complex. No company-specific news.

HOLDINGS NEWS

Constellation: a beat-and-raise the tape mostly shrugged at.

Second-quarter adjusted operating earnings of \$2.55 per share rose \$0.64 from a year earlier, and management lifted full-year adjusted guidance to \$11.50–\$12.50 from \$11.00–\$12.00, putting the new midpoint where the prior ceiling stood. The nuclear fleet ran a 93% capacity factor across 40 TWh despite six planned refueling outages averaging 23 days. Constellation signed roughly 920 MW of long-term nuclear power purchase agreements in the quarter — including Walmart's first — at an average duration of 18.5 years, bringing about 30% of its clean baseload under contract, and agreed to sell the Brazos Valley Energy Center to LS Power for \$860 million, the last divestiture required by the Calpine transaction. GAAP earnings fell to \$1.42 per share from \$2.67 on outage timing and a \$115 million swing in Illinois

ZEC revenue recognition. Shares closed up 0.47%. The contracted baseload is the asset being built here; the quarterly accounting around it is not.

AMD: Wednesday's verdict got a second reading. Shares recovered 2.75% of Wednesday's 7.04% decline as the sell-side declined to follow the tape, with Morningstar reiterating its \$530 fair value estimate after the quarter. The capital-expenditure step-up that unsettled the market — roughly \$808 million against about \$282 million a year earlier — reads differently set against management's guidance for data-center unit sales to double in 2027. We wrote yesterday that the print was strong and the bar was stronger. One session does not settle that argument, but it is worth noting which direction the second look went.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+21.82%

vs DVY +15.89% / SPY +13.31%

GROWTH PORTFOLIO

+18.24%

vs IUSG +15.01%